Valuing a Growth Company: Dexcom Inc.

Anne M. October 2026

A Fundamental Valuation of Dexcom Inc. Using DCF, Relative Valuation and Market Opportunity Analysis

Agenda

01. Introduction

02. The Company

03. Market & Industry

04. Valuation

05. Conclusions

Scope & Approach

Why Dexcom is a Growth Company

- Revenue increased from **$1.9B (2020)** to **$4.7B (2025)**
- Operates in the rapidly growing **CGM market (~15% annual growth)**
- Invests heavily in innovation (**$500-600M annual R&D spending**)
- Expanding into adjacent markets including digital health and biosensors

Valuation Approach

1. **DCF Valuation (Damodaran Framework)**
2. **Industry Multiple Valuation**
3. **Market Opportunity Analysis**

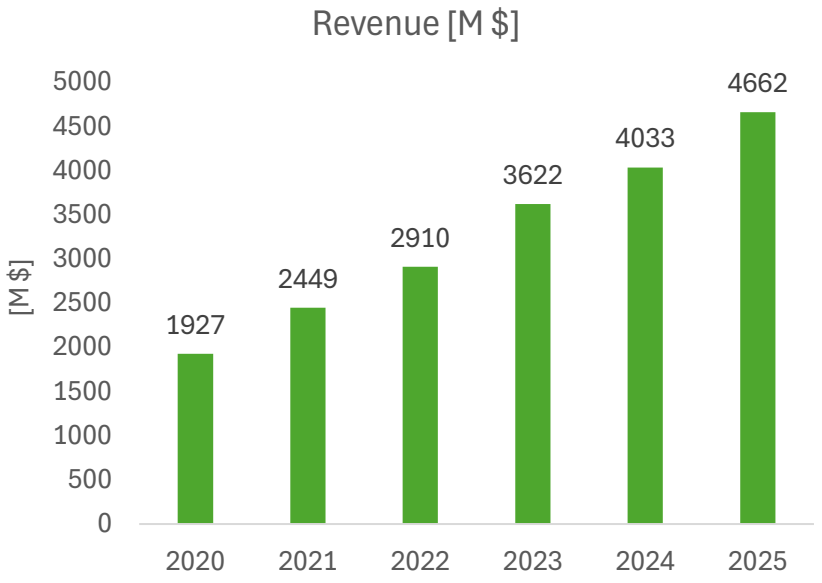
Supporting Analysis: Industry Structure, Market Potential and Competitive Advantage

Damodaran, A. (2017). *Narrative and Numbers: The Value of Stories in Business*. Columbia University Press.
Grand View Research. (2026). *Continuous Glucose Monitoring Market Size, Share & Trends Analysis Report*.
Dexcom, Inc. (2026). *Dexcom Investor Day Presentation*, 14 May 2026.

Why Dexcom

Dexcom is the leading pure-play CGM company, operating in a large and growing market driven by increasing diabetes prevalence, expanding CGM adoption, and recurring sensor revenue.

- **Large market opportunity:** Diabetes prevalence is expected to increase from **590 million today to 853 million by 2050**.
- **Market leader:** Dexcom serves approximately **3.5 million users** and is one of the leading players in CGM.
- **Recurring revenue model:** Sensors require regular replacement, creating predictable and scalable revenue.
- **Additional growth options:** Expansion into **biosensors, digital health, wearable devices and OTC solutions**.
- Revenue increased from $1.9B to $4.7B between 2020 and 2025, representing a CAGR of approximately 19%.
- Risks: Abbott competition, Reimbursement pressure, Slowing adoption



Research Question: Does Dexcom's current market price reflect its long-term growth opportunities?

Source: Dexcom 2026 Investor Day. May 14, 2026

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Dexcom Product Portfolio

🟦 **Products Today**

- Dexcom G7 (flagship CGM platform)
- Dexcom ONE+ (broader patient adoption)
- Stelo (OTC glucose monitoring)

🟩 **Products Tomorrow**

- Digital health platforms
- Biosensors
- Consumer wellness
- AI-driven health insights

Dexcom's growth opportunity extends beyond CGM into digital health, consumer wellness, and future biosensing applications.



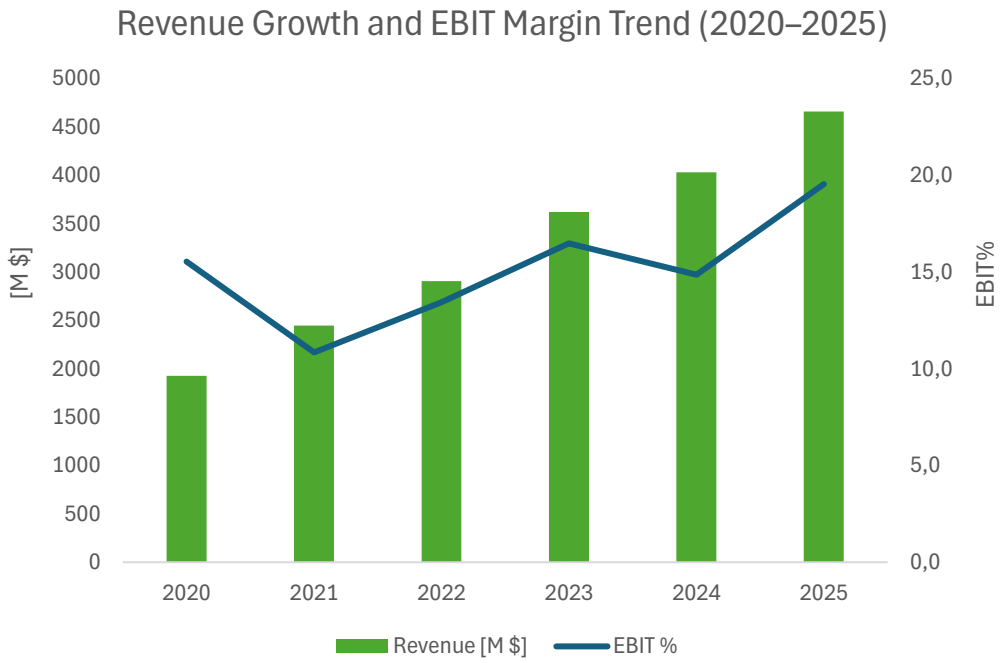
Source: Dexcom 2026 Investor Day. May 14, 2026

Dexcom Financial Performance & Profitability

Dexcom has more than doubled its revenue over the last five years, growing from $1.9 billion in 2020 to $4.7 billion in 2025. Growth has been supported by increasing CGM adoption, product innovation, and international expansion.

At the same time, operating profitability has improved despite significant investments in R&D. EBIT margin increased from 15.5% in 2020 to 19.6% in 2025, demonstrating operating leverage as the business scales.

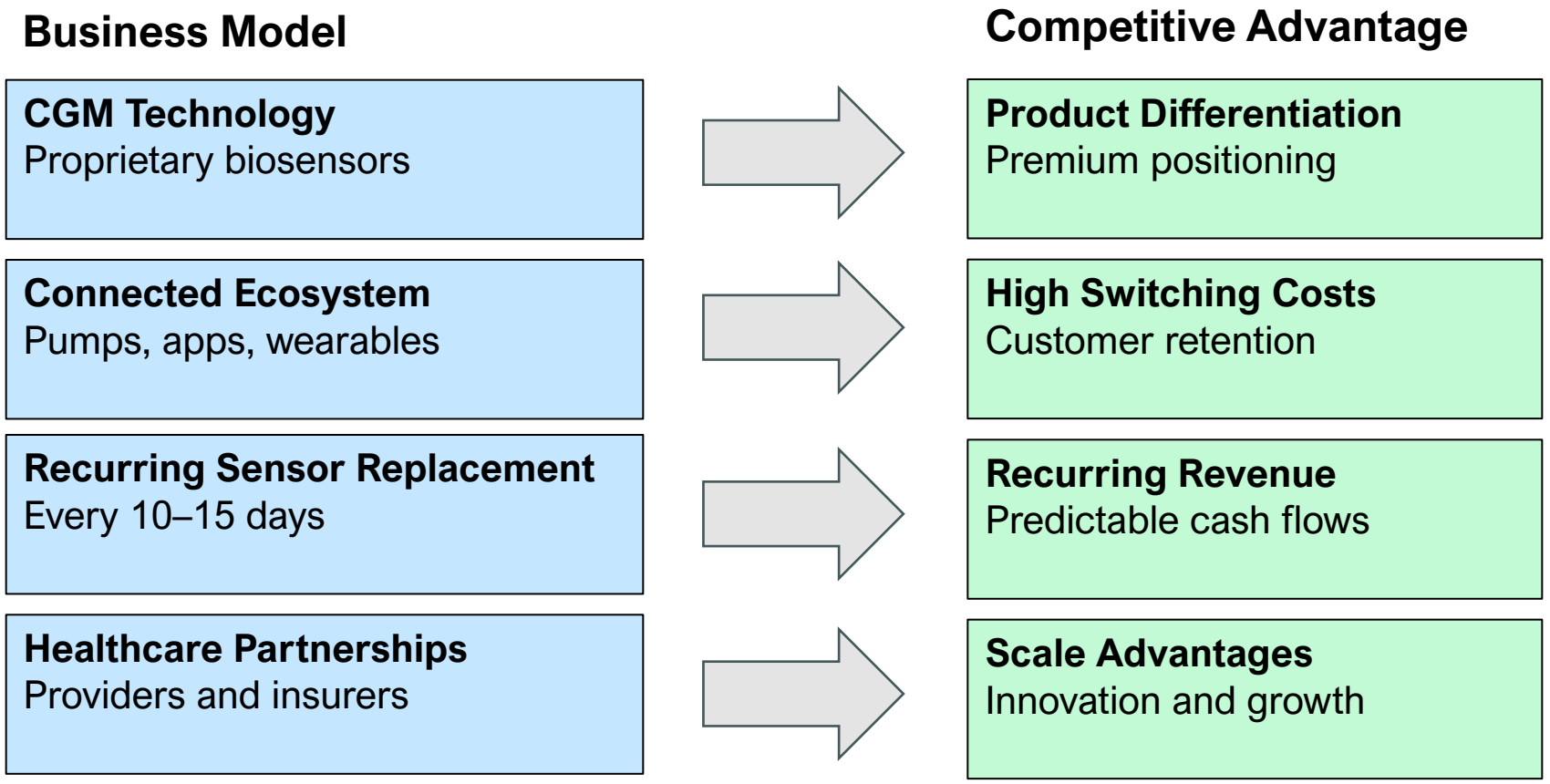
Annual R&D spending increased from $360 million to nearly $600 million, supporting new product development and future growth opportunities beyond traditional CGM applications.



	2020	2021	2022	2023	2024	2025
Revenue [M $]	1926,7	2448,5	2909,8	3622,3	4033,0	4662,0
Revenue Growth %		27,1	18,8	24,5	11,3	15,6
Operating income [M $]	299,5	265,8	391,2	597,7	600,0	911,8
EBIT %	15,5	10,9	13,4	16,5	14,9	19,6

Source: Dexcom Annual report 2025

Dexcom Business Model & Competitive Advantage



Dexcom combines recurring revenues, high switching costs, product differentiation, and scale advantages to support long-term value creation.

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The CGM Industry Remains Attractive Despite Strong Competition

The CGM market combines high barriers to entry with strong demand growth. Despite intense competition, Dexcom benefits from technology leadership, switching costs, and ecosystem advantages.

Force	Rating
Threat of New Entrants	Low
Supplier Power	Medium
Buyer Power	Medium
Threat of substitutes	Low - Medium
Industry Rivalry	High

High barriers to entry
- FDA approvals
- Clinical evidence requirements
- Significant R&D investments

Strong demand growth
- Rising diabetes prevalence
- Increasing CGM adoption

The CGM industry combines strong growth with high entry barriers, supporting long-term value creation.

Porter, M. E. (2008). *The Five Competitive Forces That Shape Strategy*. Harvard Business Review.

Dexcom's Competitive Advantages

Advantage	Dexcom Example
Supply Advantage	Proprietary biosensor technology and patents
Demand Advantage	High switching costs and customer loyalty
Economies of Scale	Global manufacturing scale and R&D leverage
Regulatory Barriers	FDA approvals and reimbursement systems

- Dexcom benefits from multiple reinforcing competitive advantages that make market entry difficult for new competitors.
- Demand advantages are likely more durable than technology advantages alone.

Greenwald, B. C., & Kahn, J. (2005). *Competition Demystified: A Radically Simplified Approach to Business Strategy*.

Market opportunity

Market Opportunity

🩺 **590M** People living with diabetes today

🩺 **853M** People living with diabetes by 2050

📈 **15% CAGR** CGM market growth

Why the market can expand

- Rising diabetes prevalence
- Increasing CGM adoption
- Better reimbursement coverage
- Preventive healthcare trends

Beyond CGM: Additional Growth Opportunities

Core Market	Adjacent Markets
Continuous Glucose Monitoring • $13B market • 15% annual growth	**Biosensors** • Glucose, Lactate, Metabolic monitoring • $32B market, 9% annual growth **Digital Health** • AI-driven insights, Remote patient monitoring • $347B market, 23% annual growth **Consumer Wellness** • Large emerging market • Stelo, Prediabetes, Health optimisation

Future growth may come not only from diabetes management but also from broader biosensing and digital health applications.

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Valuation Assumptions

	Bear	Base	Bull
	Competitive Pressure	**CGM Becomes Standard of Care**	**Digital Health Platform**
Narrative	Competition intensifies and growth slows	CGM adoption expands globally	Dexcom expands into broader digital health ecosystem
Revenue Growth	Revenue growth 8% for five years, gradually declining to 3%.	Revenue growth 20% for five years, declining to 8%.	Revenue growth 25% for five years, declining to 12%.
Pre-tax Operating Margins	Margins gradually improve to 18%.	Margins gradually improve to 30%.	Margins gradually improve to 32%.
Reinvestment	Sales-to-capital ratio of 2.0.	Sales-to-capital ratio of 2.2.	Sales-to-capital ratio of 2.5.
Cost of Capital	Cost of capital of 9.0%.	Cost of capital of 8.0%.	Cost of capital of 7.0%.

The key valuation driver is revenue growth, while margin expansion and reinvestment efficiency determine the magnitude of value creation.

- **20% growth** → CGM adoption, Type 2 expansion, Stelo
- **30% margin** → Scale economies and operating leverage
- **8% WACC** → Large profitable medtech company

Valuation: Base case

	Base Year (2025)	Years 1-5 (2026-2030)	Years 6-10 (2031-2040)	Stable Growth	Story Link
Revenue Growth	15.6%	20 %	8 %	2,50 %	Growing CGM adoption among Type 1 and Type 2 diabetics
Operating Margin (%)	19.6%	19.6% → 25%	25% → 30%	30 %	Economies of scale and market leadership improve profitability
Tax Rate (%)	26 %	26 %	26 %	26 %	Tax rate remains stable
Sales-to-Capital Ratio	2,20	2,20	2,20	2,20	Capital efficiency remains consistent as the business scales
Cost of Capital (%)	8,00 %	8,00 %	8,00 %	8,00 %	Business risk declines as CGM adoption becomes more established
Terminal Growth (g)	-	-	-	2,50 %	Long-term growth supported by global healthcare demand

Valuation: Base case

DCF Framework

1. Forecast revenues
2. Estimate operating profit (EBIT)
3. Calculate NOPAT
4. Estimate reinvestment needs
5. Calculate FCFF
6. Discount FCFF using WACC
7. Add terminal value
8. Derive enterprise and equity value

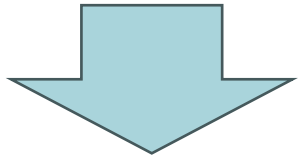
$$FCFF = EBIT(1 - Tax) - Reinvestment$$

$$Value = \sum \frac{FCFF_t}{(1 + WACC)^t} + \frac{TV}{(1 + WACC)^n}$$

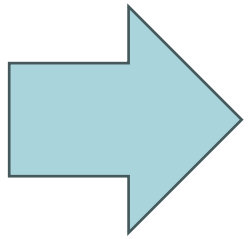
DCF Valuation Result (Base Case)	
Item	Value
Enterprise Value	$40.5 B
Less Debt	$1.2 B
Plus Cash	$2.0 B
Equity Value	$41.2 B
Shares Outstanding	384.8 M
Intrinsic Value per Share	**$107**
Market Price	$80
Upside	35%

Bear / Base / Bull scenarios

Scenario	Revenue Growth	EBIT margin	Sales / capital ratio	ROC	WACC	g	Intrinsic Value
Bear	8% / 3%	19,6% → 18%	2	16 %	9 %	2,5 %	30,87
Base	20% / 8 %	19,6% → 30%	2,2	44 %	8 %	2,5 %	**107,1**
Bull	25% / 12%	19,6% → 32%	2,5	62,5 %	7 %	2,5 %	161,97



Scenario	Narrative	Value / Share
Bear	Competitive pressure	**$31**
Base	CGM becomes standard of care	**$107**
Bull	Digital health platform	**$162**



Current Market Price: $79.6
Under the Base Case, Dexcom appears undervalued by approximately **35%**.

Sensitivity analysis – Base case

Sensitivity analysis tests the impact of changes in WACC and terminal growth assumptions. The estimated intrinsic value ranges from $84 to $148 per share, with a base-case value of $107 per share. The analysis suggests that the valuation is more sensitive to changes in WACC than to terminal growth assumptions.

Key Finding

- Intrinsic value range: **$84–148/share**
- Base case value: **$107/share**
- Valuation is most sensitive to **WACC assumptions**

Higher value
Lower value

g

WACC	2.0%	2.5%	3.0%
7 %	123,82	134,63	148,16
8 %	100,38	**107,10**	115,17
9 %	84,24	88,69	93,87

Valuation Using Industry Multiples

Industry multiples provide a market-based valuation benchmark and indicate how Dexcom is valued relative to comparable healthcare companies.

Metric	Value
Estimated Value per Share	**$59.64**
Current Market Price	**$79.58**
Premium to Industry Value	**34%**

Industry	EV/Sales
Healthcare Products	4.76x
Healthcare Information & Technology	5.31x
Dexcom (Market)	6.40

The market values Dexcom above industry averages due to superior growth expectations.

https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datacurrent.html

Market Opportunity Validation

Scenario 1: CGM Market Leadership Assumptions	**Scenario 2: Platform Expansion Assumptions**
• CGM Market (2025): **$13.4B** • Market Growth: **15% annually** • Market Size (2035): **$54.2B** • Dexcom Market Share: **30%**	• CGM Market (2025): **$13.4B** • Biosensor Market (2025): **$32.0B** • Combined Market: **$45.4B** • Market Growth: **11% annually** • Market Size (2035): **$128.8B** • Dexcom Market Share: **20%**
Revenue Potential $13.4 \times (1.15)^{10} \times 30\% = 16.3\text{B}$	**Revenue Potential** $(13.4 + 32.0) \times (1.11)^{10} \times 20\% = 25.8\text{B}$
Estimated Revenue Potential (2035): $16.3B	**Estimated Revenue Potential (2035): $25.8B**

The DCF model assumes revenue of **approximately $17.5B in the terminal year**. This estimate falls between the two market opportunity scenarios, ranging from $16.3B under a CGM leadership scenario to $25.8B under a broader platform expansion scenario.

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Conclusions

Method	Value per Share	Difference vs Market
Current Market Price	$79.6	–
DCF Valuation (Base Case)	$107	+35%
Industry Multiples	$60	−25%
Market Opportunity Analysis	Supports DCF assumptions	–

- Dexcom operates in an attractive and growing market.
- Competitive advantages appear sustainable.
- Market opportunity supports long-term growth assumptions.
- Base-case intrinsic value is **$107/share**.
- Current market price implies approximately **35% upside**.

Additional slides

Use of AI statement

Use of AI
Artificial intelligence (AI) tools were used to improve language, grammar, readability, and presentation quality. AI was also used to clarify terminology and explain unfamiliar concepts. All analysis, valuation assumptions, calculations, interpretations, and conclusions are the author's own.

Main sources
- Hanken course materials and lecture slides
- Damodaran, A. (2017). *Narrative and Numbers: The Value of Stories in Business*

Terminology 1/2

Term	Meaning	Formula / Calculation	Why It Matters
Revenue	Company's sales during a year	Sales Revenue	Starting point of valuation
EBIT	Earnings Before Interest and Taxes	Revenue – Operating Costs	Measures operating profitability
EBIT Margin	Operating profit as % of revenue	EBIT ÷ Revenue	Indicates profitability and scalability
NOPAT	Net Operating Profit After Tax	EBIT × (1 – Tax Rate)	After-tax operating profit generated by the business
Reinvestment	Capital required to support growth	Revenue Growth ÷ Sales-to-Capital Ratio	Growth requires additional investment
FCFF	Free Cash Flow to Firm	NOPAT – Reinvestment	Cash flow available to debt and equity investors
WACC	Weighted Average Cost of Capital	Cost of Equity and Debt weighted by capital structure	Used to discount future cash flows
Terminal Growth Rate (g)	Long-term growth assumption after forecast period	Assumption	Determines terminal value
$FCFF_{11}$	First FCFF after explicit forecast period	$NOPAT_{11}$ – $Reinvestment_{11}$	Used to calculate terminal value
Terminal Value	Value of all future cash flows after forecast period	$FCFF_{11}$ ÷ (WACC – g)	Often the largest component of DCF value
PV (Terminal Value)	Present value of terminal value	TV ÷ (1 + WACC)^n	Converts terminal value into today's value

Terminology 2/2

Term	Meaning	Formula / Calculation	Why It Matters
PV (FCFF)	Present value of forecast cash flows	Σ $FCFF_t/(1+WACC)^t$	Value of cash flows during forecast period
Enterprise Value (EV)	Value of operating assets	PV(FCFF) + PV(TV)	Value of business operations
Debt	Interest-bearing liabilities	Balance sheet debt	Belongs to lenders
Cash	Cash and cash equivalents	Balance sheet cash	Added back to equity value
Equity Value	Value attributable to shareholders	EV – Debt + Cash	Value owned by shareholders
Shares Outstanding	Number of shares issued	Company filings	Needed to derive per-share value
Intrinsic Value per Share	Estimated fair value of one share	Equity Value ÷ Shares Outstanding	Main output of DCF valuation
Market Price	Current stock price	Stock market quotation	Used for comparison
Implied Upside / Downside	Difference between intrinsic value and market price	(Intrinsic Value ÷ Market Price) – 1	Indicates potential mispricing
ROC	Return on Capital	NOPAT ÷ Invested Capital	Measures value creation from invested capital
Sales-to-Capital Ratio	Efficiency of reinvestment	Revenue Increase ÷ Reinvestment	Measures how efficiently growth is achieved

DCF Methodology

1. Forecast Revenue
Estimate future revenue growth
↓
2. Estimate EBIT
EBIT = Revenue × EBIT Margin
↓
3. Calculate NOPAT
NOPAT = EBIT × (1 − Tax Rate)
↓
4. Estimate Reinvestment
Reinvestment = Revenue Growth ÷ Sales-to-Capital Ratio
↓
5. Calculate FCFF
FCFF = NOPAT − Reinvestment
↓
6. Discount Cash Flows
PV = FCFF ÷ (1 + WACC)^t
↓
7. Calculate Terminal Value
TV = $FCFF_{11}$ ÷ (WACC − g)
↓
8. Derive Equity Value
EV = PV(FCFF) + PV(TV)
Equity Value = EV − Debt + Cash
↓
9. Calculate Intrinsic Value per Share
Intrinsic Value = Equity Value ÷ Shares Outstanding

Competition

The CGM market is dominated by two major players: Dexcom and Abbott. While Abbott is the larger player with approximately 8 million users, Dexcom has established a strong position in the premium CGM segment through product performance, ecosystem integration, and continuous innovation.

Dexcom's installed base has grown from approximately 0.9 million users in 2020 to 3.5 million users in 2025, demonstrating strong adoption despite intense competition. The company benefits from high switching costs, recurring sensor revenue, and integration with insulin pumps, smart pens, and digital health platforms.

Key Competitive Advantages

- Strong position in the premium CGM segment
- Recurring revenue model through sensor replacement
- Integrated ecosystem with diabetes management devices
- Continuous innovation supported by ~$600M annual R&D investment
- Growing installed user base and strong customer retention

Install Base of Continuous Glucose Monitoring Device			
	2025	2023	2020
Dexcom	3,5 M	2,3 M	0,9 M
Abbott Laboratories	8 M	5 M	

Market Opportunity and Adjacent Markets

	Estimate	Notes
People living with Diabetes 2025	590 M	Global number → Total market
People living with Diabetes 2050	853 M	International Diabetes Federation (IDF) forecast → long-term growth
People diagnosed	60 %	Regional differences → Reachable market
People who receive treatment	70% of diagnosed	Lifestyle changes, insulin, oral medication → Addressable market
People with prediabetes	~1.3 B	WHO + CDC → Future market (Stelo). ~40% of US adults have prediabetes.
People benefitting glucose monitoring	~250 M	People with diabetes who are diagnosed and receiving treatment

Market	Definition	Market size	Market Growth	Main players	Source
Continuous glucose monitoring (prescription)	**Real-time glucose monitoring via subcutaneous sensor**	**$13.4 Bn**	**15 %**	**Dexcom, Inc., Abbott Laboratories, Medtronic**	**Grand View Research - public data**
Biosensors	Biological sensors for glucose, lactate, metabolic markers	$32 Bn	9 %	Abbott, Medtronic, Dexcom (glucose biosensing), Siemens Healthineers	Grand View Research - public data
Wearable Medical Device	Wearables incl. CGM, cardiac patches	$54 Bn	30 %	Philips, Boston Scientific, Abbott	Grand View Research - public data
Diabetes care drugs & medical devices	Insulin, GLP-1, pumps, pens, CGM	$130 Bn	9 %	Novo Nordisk, Eli Lilly, Medtronic	Mordor Intelligence - public data
Digital Health	Remote monitoring, telehealth, AI diagnostics	$347 Bn	23 %		Grand View Research - public data